

CHAPTER 6

An Act to make further provision with respect to temporary advances to, and temporary borrowings by, the National Coal Board, and to make provision for altering the financial year of the Board; and for purposes connected therewith. [20th December, 1962]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1. The following section shall be substituted for section 27 of the Coal Industry Nationalisation Act 1946 (in this Act referred to as "the principal Act"):

Temporary advances to, and borrowings by, National Coal Board.
9 & 10 Geo. 6. c. 59.

"27.—(1) The Minister may advance temporarily to the Board any sums which the Board have power to borrow from him in accordance with the following provisions of this section.

(2) Subject to the limit imposed by the next following subsection, the Board—

- (a) may borrow temporarily from the Minister such sums as they may require for financing any temporary deficit of the Board on revenue account;
- (b) with the consent of the Minister or in accordance with the terms of any general authority given by him, may borrow temporarily from any other person, by way of overdraft or otherwise, such sums as they may require for financing any such deficit or otherwise for meeting their obligations and discharging their functions under this Act.

(3) The aggregate amount outstanding in respect of the principal of sums borrowed under this section shall not at any time exceed twenty million pounds.

(4) The Treasury may guarantee, in such manner and on such conditions as they think fit, the repayment of, and the payment of any interest on, any sum borrowed by the Board, otherwise than from the Minister, under this section.

(5) Any sums required by the Treasury for fulfilling any such guarantee shall be charged on and issued out of the Consolidated Fund.

(6) Immediately after any guarantee is given under this section, the Treasury shall lay a statement of the guarantee before each House of Parliament, and where any sum is issued out of the Consolidated Fund for fulfilling such a guarantee the Treasury shall, as soon as possible after the end of each financial year beginning with that in which the

sum is issued and ending with that in which all liability in respect of the principal of the sum and in respect of interest thereon is finally discharged, lay before each House of Parliament a statement relating to that sum.

(7) Any sum issued for fulfilling a guarantee given under this section shall be repaid by the Board to the Treasury, together with interest thereon at such rate as the Treasury may determine, in such manner, and over such period, as the Treasury may determine after consultation with the Minister.

(8) Any sums received by the Treasury under the last preceding subsection shall be paid into the Exchequer.

(9) The provisions of this section shall have effect without prejudice to the exercise of any power conferred by section 26 of this Act ”.

Financial
year of
National
Coal Board.
4 & 5 Eliz. 2.
c. 61.

2. The financial year of the National Coal Board which, by virtue of section 2 of the Coal Industry Act 1956, will begin at midnight of the 29th December 1962 shall continue until midnight of the 28th March 1964; and thereafter the financial year of the Board shall be the period beginning at midnight of the last Saturday in March in one calendar year and ending at midnight of the last Saturday in March in the next following calendar year.

Construction,
consequential
amendment
and repeals.

3.—(1) In subsections (3) and (4) of the section substituted by this Act for section 27 of the principal Act, references to sums borrowed under that section are references to sums borrowed either under the section so substituted or under section 27 of the principal Act as originally enacted or as amended before the passing of this Act.

(2) In section 28 (1) (b) of the principal Act (which relates to the payment of interest on, and repayment of, advances to the Board) after the words “section twenty-six” there shall be inserted the words “or section twenty-seven”.

(3) Section 1 (4) of the Coal Industry Act 1951 (which amended section 27 of the principal Act as originally enacted) is hereby repealed; and section 2 of the Coal Industry Act 1956 is hereby repealed as from the beginning of the financial year first mentioned in the last preceding section.

Short title,
citation and
extent.

4.—(1) This Act may be cited as the Coal Industry Act 1962, and shall be included among the Acts which may be cited together as the Coal Industry Acts 1946 to 1962.

(2) This Act does not extend to Northern Ireland.
